Travel and Expense Reimbursement Policy

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Summary. Explains how Northstar Systems employees get travel approved, what they may spend on air travel, hotels, meals and mileage, how advances and corporate cards work, and how to file, approve and reimburse expense claims in NorthPay, with limits, deadlines, examples and exceptions.

SYNTHETIC DOCUMENT - Northstar Systems is a fictional company. This document exists for development, testing and demonstration only and is not real legal, employment, security or compliance advice.

1. Purpose and Scope

This policy governs business travel and the reimbursement of business expenses at Northstar Systems Private Limited. It applies to all employees from Band B1 to B7 who travel or spend personal money on behalf of the company. It sets who approves travel, how much may be spent, how claims are made in NorthPay, and when reimbursement is paid. It supports the purchasing and approval rules in OPS-001 and the corporate card and petty cash rules in OPS-010 and OPS-008, and it uses the Delegation of Authority (DoA) for approvals above normal limits. Legal and tax references are illustrative and to be verified by Legal and Finance before external use.

The principle is simple: spend the company's money as carefully as your own, get approval before you commit, keep receipts, and file on time. Expenses that follow this policy are reimbursed; expenses that do not may be rejected.

2. Definitions

- **NorthPay**: the payroll and expense system in which travel requests and expense claims are made and approved.
- **Tier-1 cities**: Bengaluru, Mumbai, Delhi NCR, Chennai, Hyderabad, Pune and Kolkata. All other Indian cities are "other cities".
- **Travel request**: a pre-approval record in NorthPay stating purpose, dates, itinerary and estimated cost.
- **Travel advance**: money paid before a trip against an approved travel request.
- **Claim**: an expense report filed in NorthPay with receipts after the trip or expense.
- **Approver**: the person authorised under section 10 and the DoA to approve the request or claim.
- **Finance Controller**: the head of finance operations who owns this policy.

3. Roles and Responsibilities

- **Traveller**: books within policy, obtains prior approval, keeps receipts, files the claim in time, and settles advances.
- **Reporting manager (Band B4 or above)**: approves routine travel and claims up to the DoA limit, checks business purpose and reasonableness.
- **Department head, Director, CFO and CEO**: approve higher amounts per the DoA.
- **Finance (Accounts Payable)**: audits claims, applies caps and processes payment. Queries go to the Finance Desk (finance@northstar-systems.example).
- **Travel desk (Operations)**: books flights and hotels on request and manages vendor rates.
- **Security Desk**: advises on safe travel and receives reports of lost devices or incidents while travelling.

4. Travel Approval

All travel needs prior approval in NorthPay. A travel request must be submitted before tickets are booked or non-refundable commitments are made, and should be raised at least 7 days before departure for domestic trips and 21 days for international trips so that fares are reasonable. Approvers consider the business purpose, whether a call or video meeting would do, the cost and the budget in the traveller's cost centre.

4.1 Who approves

Trip type	Approval needed
Domestic trip	Reporting manager (Band B4 or above) in NorthPay; DoA approver if estimated cost exceeds the manager's limit
International trip	Director (Band B6) plus CFO-delegate approval
Business class for a flight over 6 hours	VP approval, in addition to the above
Trip costing more than the approved budget	Approval per the DoA table and, for unbudgeted spend above INR 1,00,000, the CFO

An approver cannot approve their own travel, and a request from a direct report's chain above them must go to the next level. Approvers must not be below Band B4.

4.2 Travel on behalf of customers

When travel is for a customer implementation or onsite support, the Customer Success manager approves the request and records the customer or project reference. Costs that are recoverable from the customer under the contract must be tagged so that Finance can invoice them.

5. Air, Rail and Local Travel

5.1 Air travel

Domestic air travel is economy class. International travel needs Director (Band B6) plus CFO-delegate approval before booking. Business class is permitted only for flights of more than 6 hours and only with VP approval. Employees should book the lowest logical fare, at least 7 days ahead where possible, avoid unnecessary changes, and may choose a nearby alternative airport only if the saving is greater than the extra ground cost. A non-refundable fare unused due to a personal change is the traveller's cost unless the manager agrees otherwise.

5.2 Rail, bus and local conveyance

For journeys under about 600 km, rail (AC chair car or AC 3-tier) is preferred where it saves cost and time. Local taxis and app-based cabs are reimbursable for business travel, between the airport or station, hotel and meeting venues. Commuting between home and the regular office is not reimbursable. Employees travelling late at night should use a safe, verifiable ride and should share the trip details with a colleague.

5.3 Personal vehicle and mileage

When an employee uses a personal vehicle for approved business travel, the company reimburses mileage at INR 12 per km for a car and INR 5 per km for a two-wheeler. The claim must show the date, start and end points and distance (from a map service screenshot), and tolls and parking are reimbursed separately with receipts. Fuel is not claimed separately when mileage is claimed.

Example: Suresh (Band B3, Pune) drives his own car 120 km each way to a customer site in Nashik region and back. Distance 240 km at INR 12 per km is INR 2,880. He adds toll receipts of INR 420 and parking of INR 150. His claim is INR 3,450.

6. Accommodation

6.1 Hotel caps per night

Hotel limits are per night and include taxes. Employees should book through the travel desk or the approved platform, and must choose a hotel within the cap for their Band and city.

Band	Tier-1 cities (INR per night)	Other cities (INR per night)
B1 to B3	4,500	3,000
B4 to B5	7,000	4,500
B6 and above	10,000	6,500

Stays above the cap need approval in advance from the next-level approver (for example the department head for a Band B4 traveller) and must record a reason, such as a conference where only a designated hotel is available. If no pre-approval exists, Finance reimburses only up to the cap and the excess is the traveller's cost.

Example: Priyanka (Band B5) stays 3 nights in Hyderabad, a Tier-1 city, at INR 7,800 per night including taxes. The cap is INR 7,000, so the reimbursable amount is 3 x INR 7,000 = INR 21,000 and the excess INR 2,400 is not reimbursed, unless her department head approved the higher rate in advance.

6.2 Staying with family or friends

No hotel claim is possible when staying with relatives or friends, but a local conveyance claim is allowed. Employees must not claim a hotel night that they did not use.

7. Meals and Incidentals

The meal allowance per day is INR 1,200 for Tier-1 cities, INR 900 for other cities, and USD 60 for international travel. It covers breakfast, lunch, dinner and snacks, and is claimed against receipts up to the daily maximum. Meals provided by the hotel, the customer or at a conference should be deducted: if the hotel includes breakfast, claim lunch and dinner only up to the limit. Alcohol and personal entertainment are never reimbursable. Client entertainment is covered by a separate approval and is not part of the personal meal allowance; it needs the approval of the department

head and must list the guests and business purpose.

Other reimbursable incidentals include visa fees for approved international trips, reasonable laundry on trips longer than 5 days, airport parking for the trip, and business internet at the hotel. Fines, penalties, personal shopping, minibar items and spa charges are not reimbursable.

8. Advances, Corporate Cards and Petty Cash

8.1 Travel advance

A travel advance of up to INR 50,000 may be requested in NorthPay with the approved travel request. The advance must be settled within 10 days of the traveller's return by filing the claim; any unspent balance is returned through NorthPay or deducted from the next salary with notice. A new advance is not issued while a previous advance remains unsettled.

8.2 Corporate card

Corporate cards are issued to department heads with a monthly limit of INR 1,00,000 and to Directors (Band B6 and above) with a monthly limit of INR 2,50,000. A single transaction may not exceed INR 50,000. The statement must be reconciled in NorthPay by the 5th of the next month, with a receipt attached to each transaction. Personal use of the card is prohibited. Lost cards must be reported at once to the Finance Desk. Details are in OPS-010.

8.3 Petty cash

Petty cash covers small local expenses such as courier or stationery. The maximum is INR 5,000 per transaction, the float is INR 25,000 per office, and the float is replenished against vouchers monthly. Travel costs are not paid from petty cash except for small local conveyance supported by a voucher. See OPS-008.

9. Filing and Paying Claims

9.1 Receipts

A receipt is mandatory for every expense above INR 500. For expenses of INR 500 or less, a self-declaration may be used if a receipt cannot be obtained, up to INR 2,000 in aggregate per claim. Receipts must be legible, show the vendor name, date, amount and tax details, and be uploaded as images or PDFs. GST invoices should be in the company name and GSTIN where the vendor can issue them (illustrative).

9.2 Claim steps

1 Open NorthPay and choose Expense Claim; link it to the approved travel request.
2 Add each expense with date, category, amount and cost centre, and upload the receipt.
3 Convert foreign currency expenses using the card statement rate or the company monthly rate.
4 Submit the claim to the reporting manager.
5 The approver reviews it, and Finance audits it.
6 Once final approval is given, payment follows.

9.3 Deadlines

Claims must be filed in NorthPay within 15 calendar days of the trip end or the expense date. A claim filed late, between 15 and 45 days, is flagged and needs the department head's justification. Claims filed more than 45 days after the trip or expense are rejected unless the CFO approves.

Reimbursement is paid within 10 working days of final approval, to the bank account recorded in NorthPay, normally with the next scheduled payment run.

Example: Rajesh returns from Chennai on 3 March. His claim is due by 18 March (15 calendar days). If he files on 25 March, the claim is late but within 45 days, so it needs his department head's note. If he files on 20 April, which is more than 45 days after the trip, it is rejected unless the CFO approves it.

9.4 Approval of claims

Claims follow the DoA. Up to INR 10,000 the reporting manager approves; INR 10,001 to INR 50,000 the department head; INR 50,001 to INR 2,00,000 a Director (Band B6) and the Finance Controller; INR 2,00,001 to INR 10,00,000 the CFO; above INR 10,00,000 the CFO and CEO jointly. No one may approve their own claim. Splitting a trip into multiple claims to avoid a threshold is prohibited.

9.5 Worked claim example

Example: Karthik (Band B4, Bengaluru) travels to Mumbai for 3 days to run a customer workshop. His approved travel request in NorthPay estimated INR 38,000. He flies economy for INR 9,600 return, stays 2 nights at INR 6,800 per night (within the Band B4 to B5 Tier-1 cap of INR 7,000), claims meals of INR 1,100, INR 1,200 and INR 900 on the three days (each within the INR 1,200 limit), and cabs of INR 2,300. The total is INR 9,600 + INR 13,600 + INR 3,200 + INR 2,300 = INR 28,700. Because the amount lies between INR 10,001 and INR 50,000, his department head approves it after Finance audits the receipts. Payment follows within 10 working days of that final approval.

9.6 Common reasons for rejection

- No prior travel approval in NorthPay for the trip.
- Missing receipt for an expense above INR 500.
- Hotel rate above the cap for the traveller's Band and city without advance approval.
- Claim filed after the 15-day window without a justification, or after 45 days without CFO approval.
- Business class booked on a flight under 6 hours or without VP approval.
- Duplicate submission of an expense already paid by corporate card.
- Personal items, alcohol, fines or penalties included in the claim.

Finance returns a rejected claim with a reason code, and the traveller may correct and resubmit it within the same deadline, or within 5 working days of the return if the original window has passed because of the audit.

10. Special Cases and Exceptions

10.1 International travel

International trips need Director plus CFO-delegate approval, a valid visa, and registration with the Security Desk, which provides country-specific advice. Meal allowance is USD 60 per day. Foreign-currency spending should use the corporate card where available. Travel insurance is arranged by the travel desk. Employees must not carry Restricted data on personal devices and must use only company laptops with encryption, NorthTunnel and NorthID.

10.2 Cancellations and changes

If a trip is cancelled, the traveller must cancel bookings immediately and file a claim for any non-refundable cost with a note. Cancellation losses caused by company-requested changes are reimbursed; losses caused by personal changes are not unless approved.

10.3 Mixed business and personal travel

When a business trip is extended for personal reasons, the traveller pays the extra cost. Only the part of airfare equivalent to the direct business route is reimbursable, and the traveller should attach a comparison fare.

10.4 Employees on notice or leaving

Employees who resign must file all outstanding claims before the last working day, and advances must be settled before full and final settlement under HR-006. Unsettled advances are recovered from the F&F payment.

10.5 Non-compliance

False or inflated claims, duplicate claims, claims for personal items, and claims for services not received are misconduct and are handled under the disciplinary ladder described in HR-002. Finance may recover overpayments from future salary after informing the employee.

10.6 Exceptions

Exceptions to caps, class of travel or deadlines require written approval one level above the normal approver, and for deadlines beyond 45 days the CFO. Exceptions must be recorded in NorthPay with a reason. Unbudgeted spend above INR 1,00,000 also needs CFO approval.

11. Frequently Asked Questions

What is the daily meal limit in Pune? Pune is a Tier-1 city, so INR 1,200 per day.

Can I claim a taxi from home to the office? No. Commuting to your regular office is not reimbursable.

When is my reimbursement paid? Within 10 working days of final approval.

Do I need a receipt for a INR 450 snack? No receipt is required below INR 500, though a self-declaration may be needed within the claim limit.

I forgot to file a claim for 50 days. What now? Claims beyond 45 days are rejected unless the CFO approves.

12. Related Documents

- OPS-001 sets purchasing authority and the DoA table used here.
- OPS-010 covers corporate cards and OPS-008 covers petty cash.
- HR-003 explains remote work allowances and setup reimbursement claims.
- HR-006 describes settlement of claims and advances at exit.

13. Revision History

Version	Date	Change	Approved by
3.0	2024-09-01	Introduced Tier-1 city list and updated hotel caps	Finance Controller
3.1	2025-08-23	Clarified claim deadlines, mileage and advance settlement	Finance Controller